Econ 2 - Lecture 17 - 3/11/26 ⇒ Last Day of Lecture!

Lecture Quiz 9 Released Today

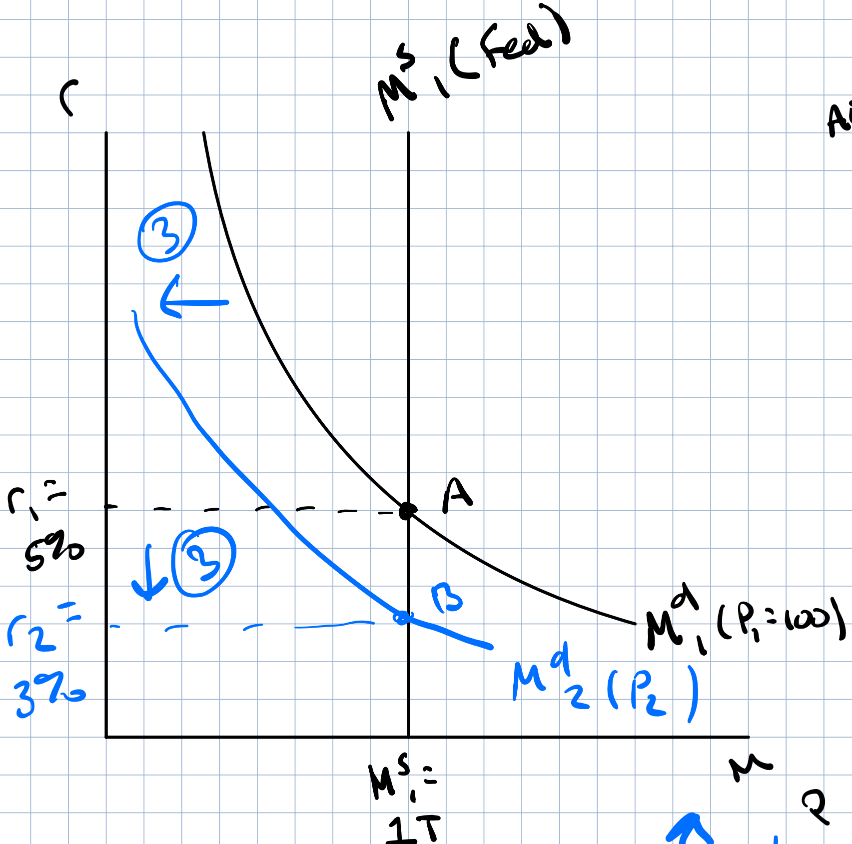
Due at 9AM on Wednesday, March 18th [Final Exam 9-11]

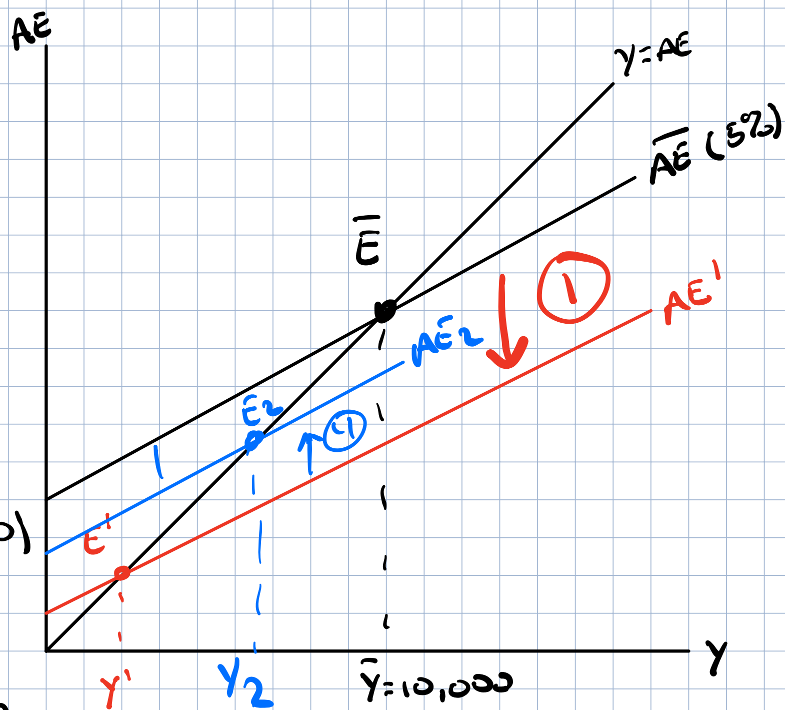
Final Exam: 40 Multiple Choice Questions

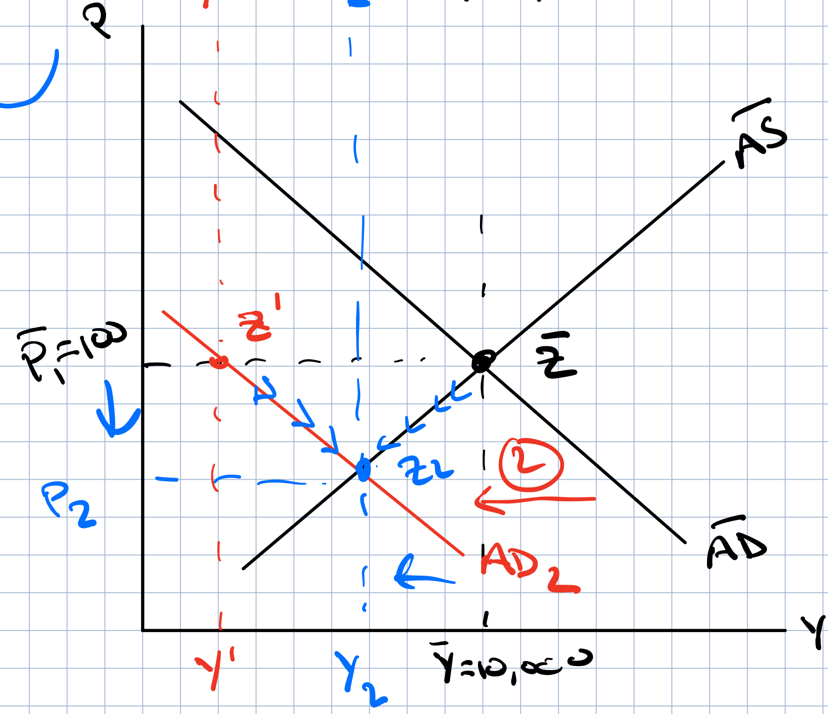
Weight of Chapters ≈ time spent on topic

Today: Peak Complexity & Returning to the Foundation

Last Class: $M^s_1 = 1T$, $r_1 = 5\%$, $\bar{P}_1 = 100$, $\bar{Y} = 10{,}000$







Housing Market Crash

1) Wealth↓ ⇒ AC↓, I^P↓
⇒ AE↓, $\bar{Y}$ to Y'

2) Prices at $\bar{P}_1$, $\bar{Y}$ → Y' (Z')

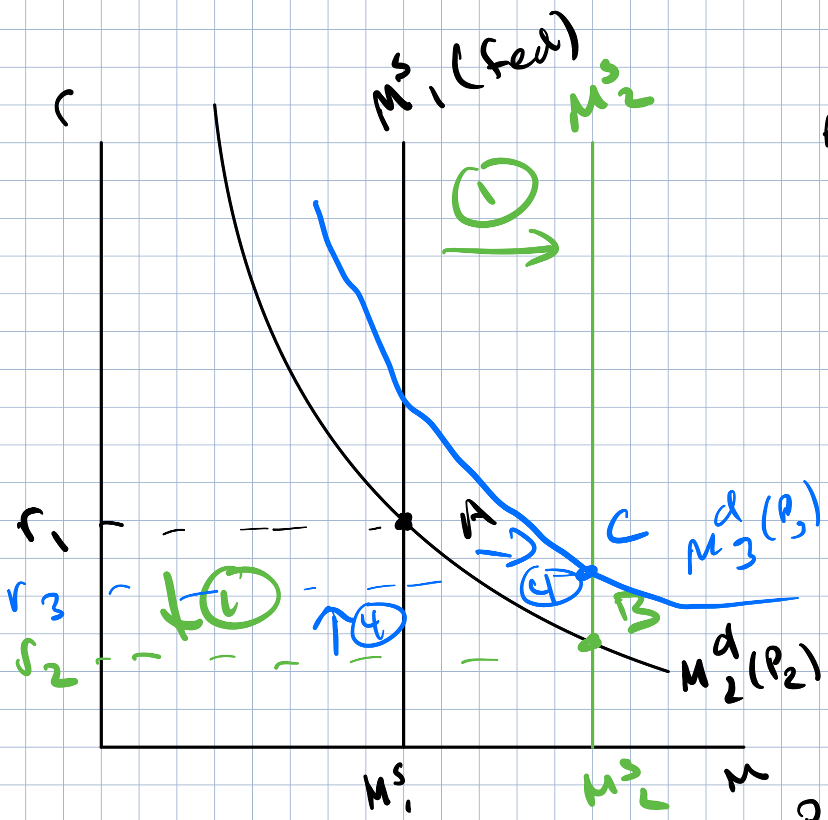
New AD_2 includes Z'

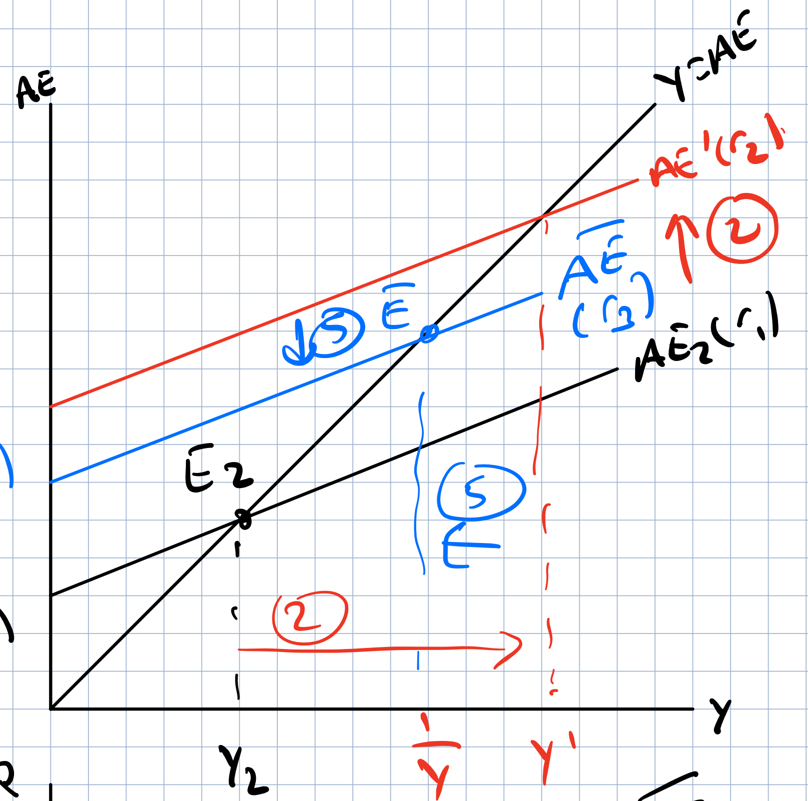
3) Prices to decrease → ↓M^d
M^d_1 to M^d_2, r↓

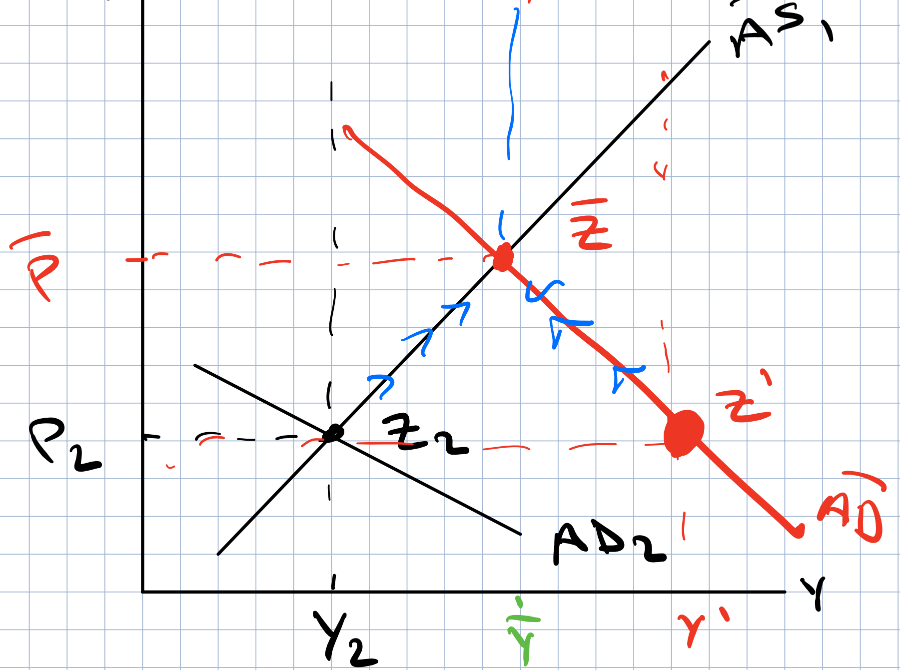
4) Increase in AC, I^P, AE

5) Move from Z' to Z_2

Federal Reserve Response: r_1, $Y_2 < \bar{Y}$, $P_2 < \bar{P}$







Get back to $\bar{Y}$ & $\bar{P}$

1) Buy bonds → M^s to right
Decrease r

2) Cost of Borrowing ↓
↑AC, ↑I^P ⇒ ↑AE, ↑Y'

3) Increase Y to Y'
But prices at P_2

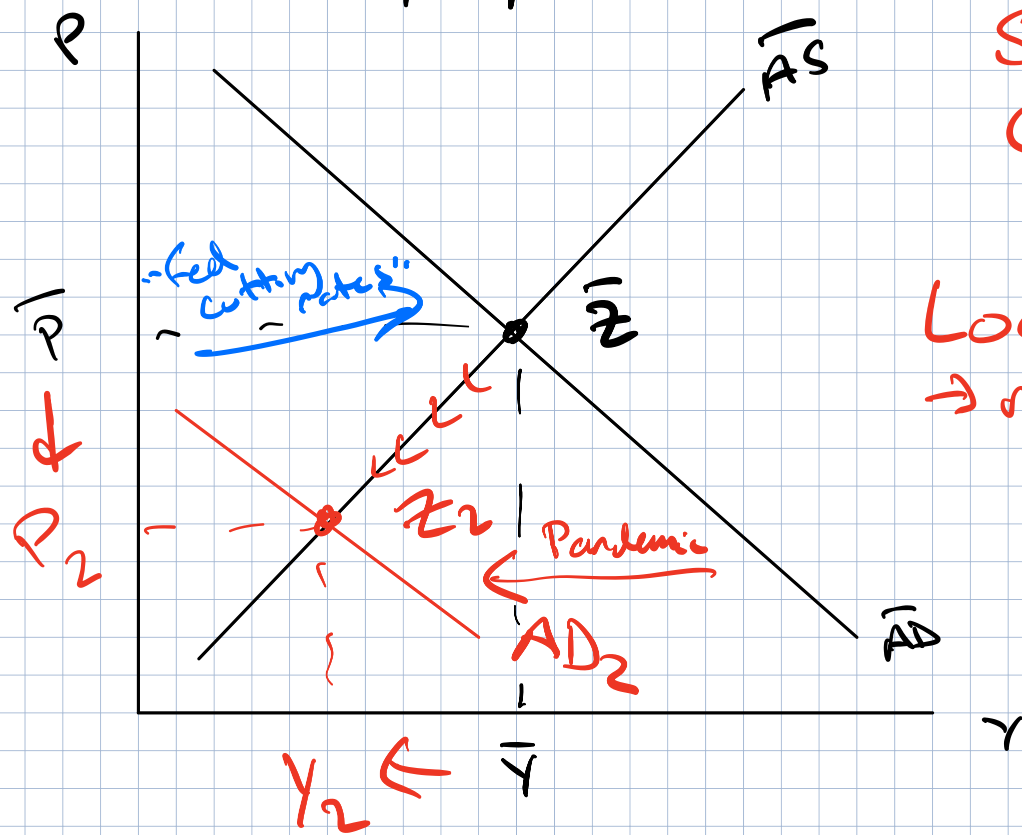
Increase AD, include Y' & P_2

4) Prices start to rise
→ M^d↑, r↑

5) AE↓, Y↓

Simplify Analysis: focus on AS/AD only

Start at $\bar{Y}$, $\bar{P}$, $\bar{Z}$



Shock:
COVID-19
Pandemic?

Lockdown
→ no ability
for
entertainment
in-person

$\underbrace{\downarrow AC, \downarrow I^P}$

$\downarrow AE$

Move from $\bar{Z}$ to Z_2

P↓, Y↓ → Cyclical UE!

↪ falling Prices

Fed can influence AD → Through monetary Policy

→ $\underbrace{\text{Buy bonds}, \downarrow r}$ → ↑AE → ↑AD

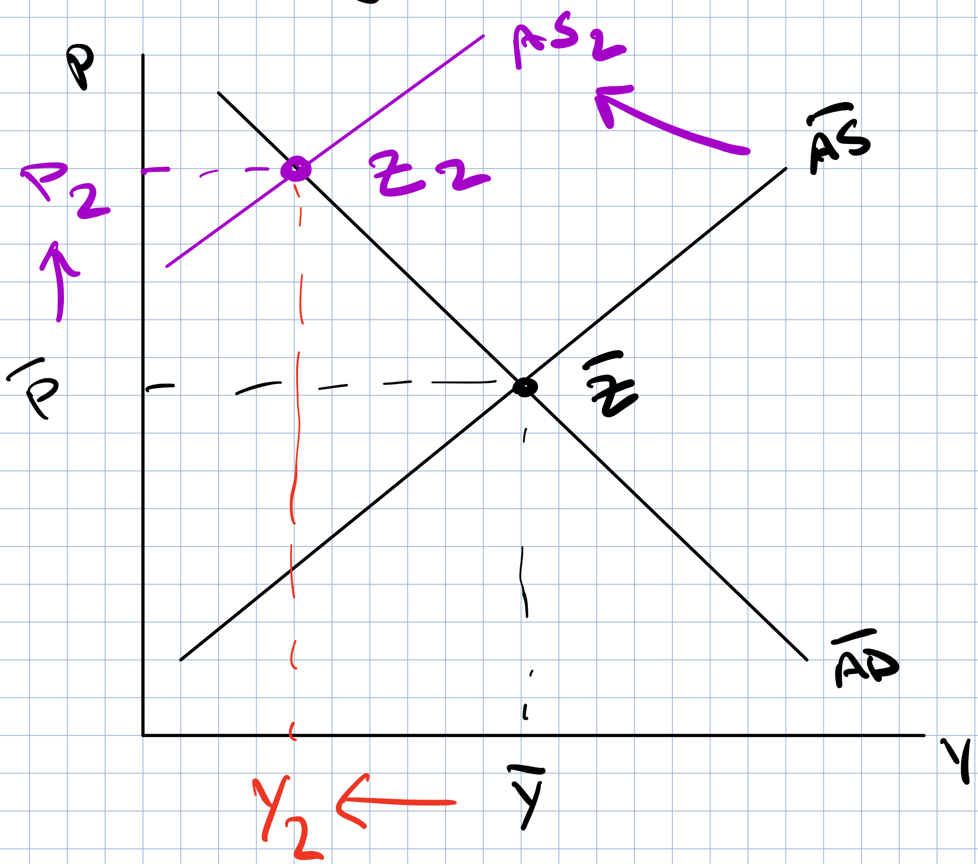
Significant increase in M^S!

Response to Aggregate Demand Shock?

If AD↓, P↓, Y↓ → Policy can influence AD → AD↑

If AD↑, P↑, Y↑ → Counter AD shock!

New Setting: Economy is in a recession ($Y < \bar{Y}$)
How do we know if recession is caused by a negative AD or AS shock?



Start at $\bar{Y}$
Move to $Y_2 < \bar{Y}$

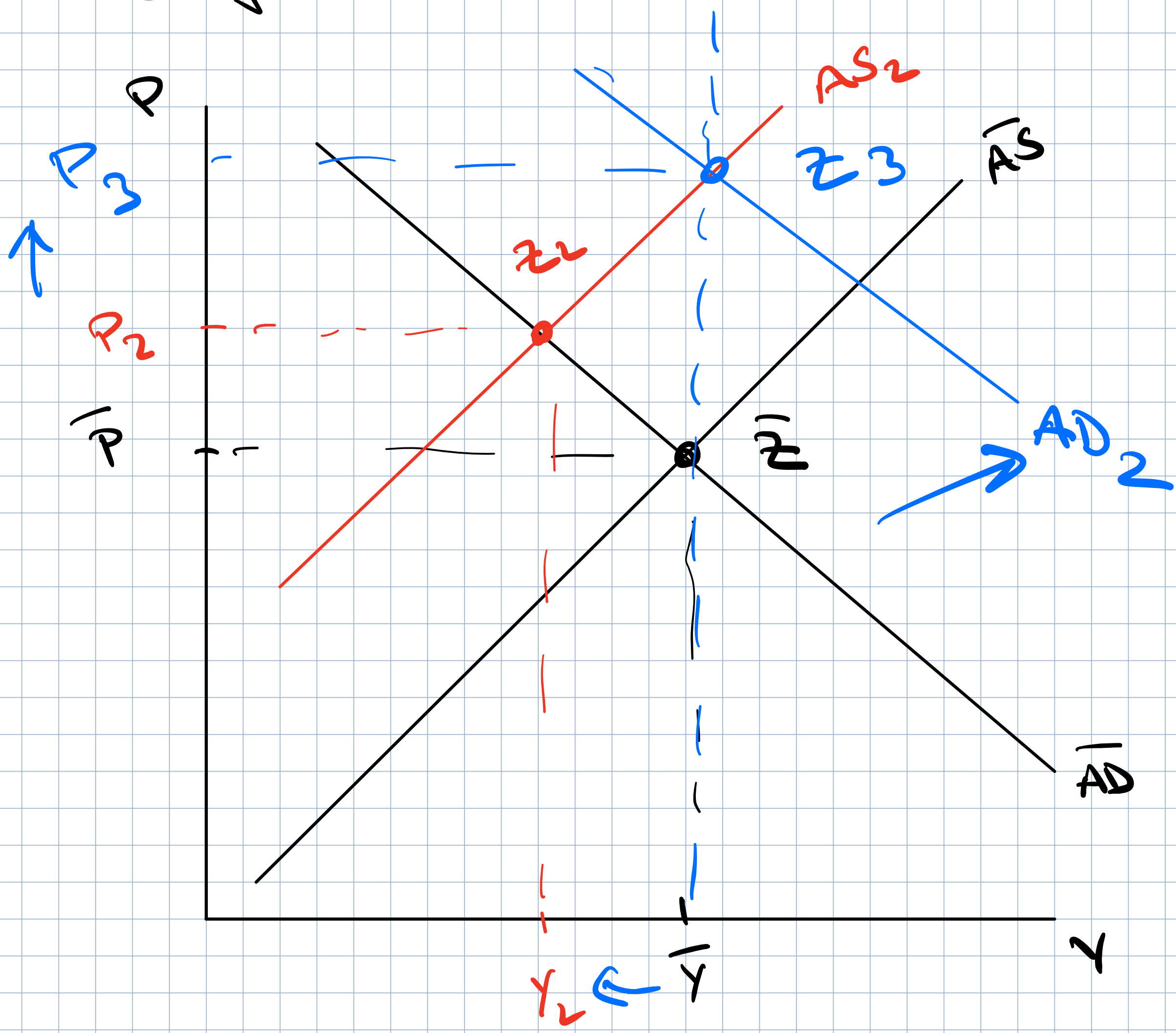
Caused by AS Shock?

Negative AS Shock
$\rightarrow$ $\underbrace{\text{AS shifts left}}_{\text{Stagflation!}}$ $\rightarrow$ $\uparrow P \Rightarrow$ Inflation
$\hookrightarrow$ $\downarrow Y \Rightarrow$ Stagnant

How should the Fed react?
Dual Mandate:
1) Price Stability ($\bar{P}$)
2) Maximum Employment ($\bar{Y}$)

What curve can the Fed influence? AD!

Tradeoff → Negative AS Shock
Prioritize job loss ⇒ Get back to $\bar{Y}$!



Return to $\bar{Y}$? What should Fed do?

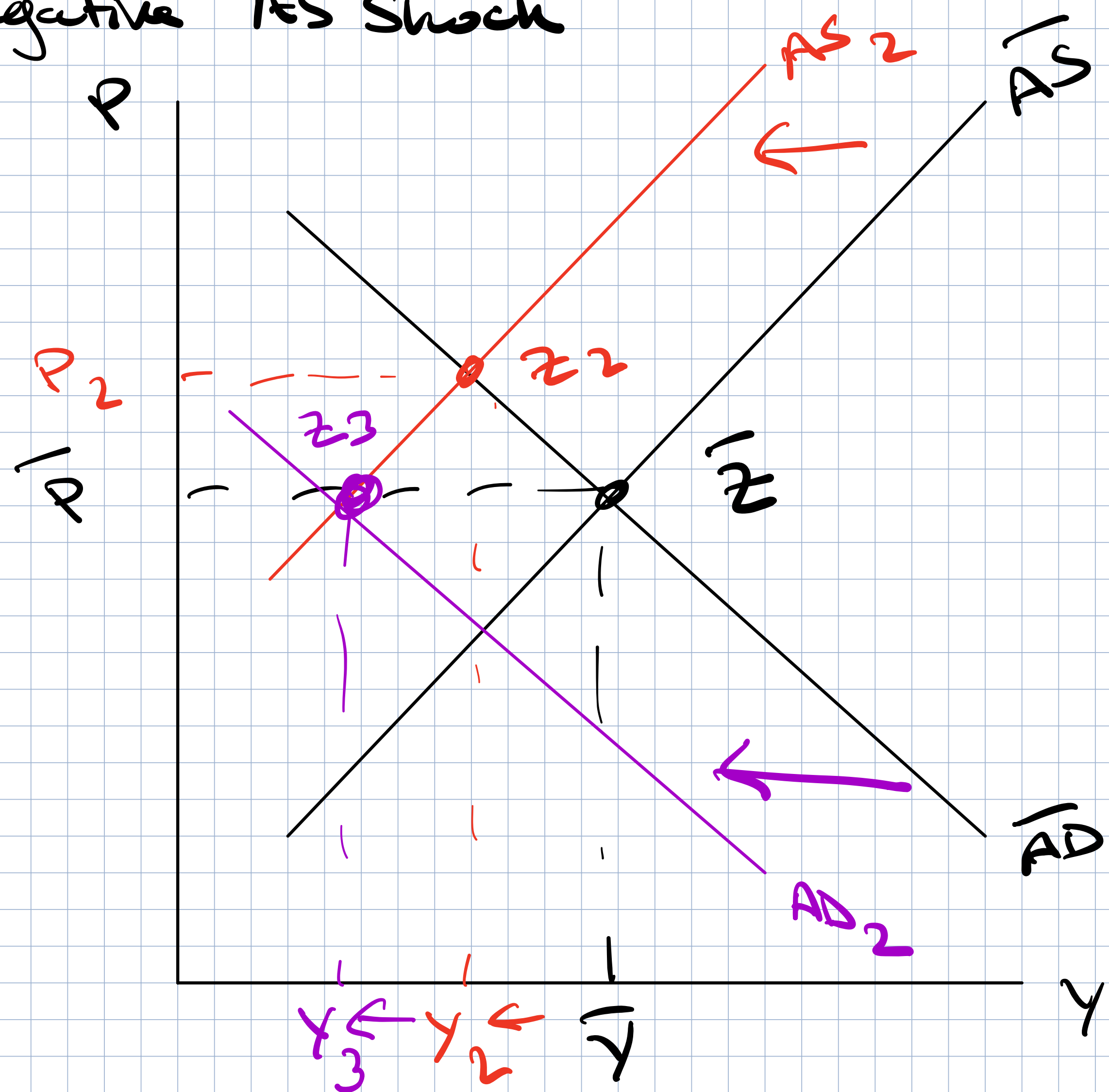
Buy bonds! Shift AD right!
New equilibrium at z_3

Started at $\bar{Y}$
↓AS → P↑, Y↓ → Job loss for some
Higher Prices for all

↑AD → Y↑ Save jobs for some
P↑ Everyone pays even higher prices

Dove Policy → less aggressive → jobs more important than prices

Alternative Policy to Dove Policy
Negative AS Shock



$\overline{Z}$ to $Z_2 \rightarrow P\uparrow$ (inflation)
$Y\downarrow$ (job loss)

What if fed prioritizes inflation?
Inflation is more important than jobs
Return to $\overline{P} \rightarrow$ Shift AD left $\rightarrow$ Sell bonds

Stable Prices $\rightarrow$ Benefits everyone
More job loss!

Hawk Policy $\rightarrow$ Aggressive $\rightarrow$ Sacrifice jobs, $P\downarrow$

Summary of Policy Responses

Event	Outcome	Fed Policy	Fiscal Policy
Negative AD Shock	$P\downarrow, Y\downarrow$	$\uparrow M^S \Rightarrow \uparrow AD$ Buy bonds	$\uparrow G, \downarrow T \Rightarrow \uparrow AD$
Positive AD Shock	$P\uparrow, Y\uparrow$	$\downarrow M^S \Rightarrow \downarrow AD$ Sell Bonds	$\downarrow G, \uparrow T \Rightarrow \downarrow AD$
Negative AS Shock	$P\uparrow, Y\downarrow$ Stagflation	Dove: $\uparrow M^S \Rightarrow \uparrow AD$ Return to $\overline{Y}$ $P_2 > P_1 > \overline{P}$ More inflation	$\uparrow G, \downarrow T$
		Hawk: $\downarrow M^S \Rightarrow \downarrow AD$ Return to $\overline{P}$ $Y_2 < Y_1 < \overline{Y}$ more Unemployment	$\downarrow G, \uparrow T$

What is the ideal response to stagflation?

→ Examine size of tradeoff between UE & inflation

→ Extremes: Large job loss + moderate inflation → Dove
25% UE, 3% inflation

High inflation + limited job loss → Hawk
10% inflation, 5% UE

What will Fed do at next week's meeting?